Audio file

Ethics and Profitability.m4a

Transcript

Hello, everyone, and welcome to this lesson. My name is Juana Maria Popp, and I am a hybrid teacher within the Department of Industrial Engineering and Innovation Sciences here at the TOE. Today, I'd like to introduce you to a topic that is practically inescapable in the realm of innovation and entrepreneurship. I'm talking, of course, about ethics. Ethics and decision making permeate every corner of business. You see it all around you. So today I'd like to give you a crash course on precisely this theme, and I'd like to start by providing you with a definition of ethics. We'll talk about how ethics and profit or profitability go hand in hand. I'll introduce you to a couple of contemporary debates in this field. We'll talk a bit about some frameworks and legislation. Finally, we will sum all of this up so that you can see how this is relevant to your work and your course. So let's take it from the top. Ethics comes from the Greek word ethos, which means habit. But in our world, and strictly speaking, it actually means the systematic reflection of what is moral. You can think of this as the totality of opinions, decisions, actions with which people express what they think is good or right. This is really, really important because sometimes things don't really go as planned. You might have heard of the Volkswagen scandal. This took place in 2015 and part of the debate here was the fact that This organization was cheating on its emission tests for the diesel cars. Now clearly, this was unacceptable for consumers and once this news surfaced, it was a tremendous blow, both to the organization as well as to its loyal customers. $30 billion in fines. That's how much it costs to be unethical. You might also hear day in, day out about other types of subjects. You might hear about misconduct. You might hear about bribery. You might hear about safety and health concerns. But actually, profit and ethics, they're not mutually exclusive. On the contrary, they actually go really well hand in hand. Ethical practices can really enhance a company's brand. It attracts customers. It brings competitive advantage and it really fosters its long-term success. It's really worth investing in ethics. A few of the companies that I'd like to mention to you in this respect include Patagonia in retail, Lego in toy manufacturing, MasterCard in financial services, and Ben and Jerry's in food production. Now what do all of these have in common? what they have in common is that they treat their supply chains with utmost care. They look at how they source their raw materials, sometimes raw products that are input for services or products that they deliver further down the line. And overall they really take a leading role in educating their shareholders as well as their stakeholders. They're really an example to follow. And what's even more interesting is that examples of these organizations can also lead to changes in policy. They can also lead to different kinds of

movements. Here you actually see Ben and Jerry's advocating for climate justice and as you've probably seen in some of their commercials, just like our planet, ice cream, if it's melted, it's ruined. A very quirky way of bringing a very important and touchy-feely subject into the spotlight for everyone to understand. Now let's focus a little bit our attention on some contemporary debates that are happening in this space. You yourself might be in this whole rush to deploy AI. You see it at the university, you see it in your private sphere. This debate has actually turned people to two separate sides. There are the technological optimists and we have the technological pessimists. and together what they want to do is to make sure that there are very strict protocols in deploying whatever LLMs are coming up next. Another important debate has to do with misinformation and how it's really spreading through social media or other means. How can we contain it? How can we make sure that people are not influenced by these opinions? We also have the subject of technological accessibility or data poverty. meaning that people who might need to have access to data, even internet, are unable to do so for various reasons. And it goes on. We talk about bias and data, which is very important in genetics or medicine. And you can probably think of some yourself. But the key here is that eventually frameworks and legislation do emerge. I'd like to talk to you about the right to repair movement. What this movement stipulates is that the products that we buy should not only be competent and should not only be technologically proficient, but that they should also be easy to repair. This movement also implies that we need to have different types of manuals available, that manufacturers need to be constrained to make sure that their products are repairable in the 1st place and to give transparency to the consumers. All of this means that there's both an ethical debate to it as well as an innovative debate. Another very interesting piece of legislation that I'd like to introduce you to is the AI Act. This is European regulation on artificial intelligence. It's very new, but it aims to regulate a factor that is very important in all of our lives. The AI Act assigns applications of AI to three risk categories, and then it talks about how they should be dealt with. For example, you could have applications and systems that create an unacceptable level of risk. This could be, for instance, social scoring, such as the one that we see in China. This is completely banned. On the other hand, we have high-risk applications, which could be, for example, a CV scanning tool. Those definitely need to be regulated. And finally, we have applications not explicitly banned. These are largely unregulated but still we need to watch out for what they're doing to our society. To sum up, I'd like to remind you, and hopefully this video has also shown you, the fact that ethics is central to entrepreneurship, to innovation. It really permeates every corner of business life. Ethics and profit are also not mutually exclusive. They go hand in hand and they contribute to the long-term profitability and the long-term tenure of a company. Debates around ethics are naturally fluid and analysis is key. This is also something that you will be doing in your assignments. And finally, and this is the best part, legislation is evolving. But for legislation to evolve positively, everyone must participate. Thank you very much for watching and good luck with your course.